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ORACLE SCM TRACK

Procurement Setup and Configuration

1. Assign Business Unit Business Functions:

Setup Path:

Home Page > Setup and Maintenance > Procurement > Organization Structures > Assign Business Unit Business Functions > Fill Data > Save and Close

Make sure you select the correct Business Unit (BU) where you want to work on Procurement, Enable Procurement and Requisition (and any other required functions) for that BU.

The screenshot shows the Oracle Procurement Setup and Configuration interface. The top navigation bar includes the Oracle logo, a search icon, and a user profile icon. The 'Setup: Procurement' dropdown is highlighted. The 'Functional Areas' list on the left includes 'Initial Users', 'Enterprise Profile', 'Legal Structures', 'Financial Reporting Structures', 'Organization Structures' (highlighted), 'Workforce Structures', 'Users and Security', 'Purchasing Categories', 'Suppliers', 'Approval Management', 'Procurement Foundation', and 'Items'. The 'Organization Structures' task list on the right includes 'Manage Business Unit', 'Assign Business Unit Business Function' (highlighted), 'Manage Facility Shifts', 'Manage Facility Workday Patterns', 'Manage Facility Schedules', 'Manage Inventory Organizations', and 'Manage Item Organizations'. The 'Assign Business Unit Business Function' task is highlighted in yellow.

Task	Scope	Actions
Manage Business Unit		[Dropdown]
Assign Business Unit Business Function	Select...	[Dropdown]
Manage Facility Shifts		[Dropdown]
Manage Facility Workday Patterns		[Dropdown]
Manage Facility Schedules		[Dropdown]
Manage Inventory Organizations		[Dropdown]
Manage Item Organizations		[Dropdown]

Assign Business Functions: MA BU

Business Unit Functions
Select all business functions that this business unit will perform.

View ▾ Format ▾ Freeze Wrap

Name	Enabled
Payables Invoicing	☒
Billing and Revenue Management	☒
Customer Payments	☒
Service Request Management	☒
Collections Management	☒
Materials Management	☒
Customer Contract Management	☒
Procurement	☒
Requisitioning	☒
Receiving	☒
Expense Management	☒
Sales	☒
Procurement Contract Management	☒

Financial Reporting
Select the primary ledger and default legal entity for the business function you chose so that financial transactions can be generated.

*Primary Ledger: US Primary Ledger

Below legal entity: ☒ Below legal entity

*Legal Entity: US1 Legal Entity

Buttons: Save, Save and Close, Cancel

2. Manage Common Options for Payables and Procurement:

Setup Path:

Home Page > Setup and Maintenance > Financials > Payables > Manage Common Options for Payables and Procurement > Select BU > Fill Data > Save and Close

This option is common between **Procurement and Payables**. Normally, the **financial team** is responsible for it, because it involves account numbers. But we can set it up now so our work continues smoothly.

Each **Business Unit (BU)** in the company can have its own option. That's why I need to be sure which BU I'm working on.

The account numbers are also different for each company, and every account number is used for a specific purpose. I'll explain these below.

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Setup: Financials

Functional Areas

- * Users and Security
- * Payables
- Payments
- * Cash Management
- * Transaction Tax
- * Expenses
- * Fixed Assets
- * Receivables

Search Tasks

Payables

View Format Freeze Detach Wrap Show Required Tasks

Task	Scope	Actions
Manage Payment Terms		
Manage Procurement Agents	Select...	
Manage Common Options for Payables and Procurement	Select...	
Manage Invoice Options	Select...	
Manage Payment Options	Select...	
Columns Hidden 3		

Select Scope

☐ Manage Business Unit

☒ Manage Common Options for Payables and Procurement

* Business Unit Select and Add

Apply and Go to Task Cancel

Select and Add: Business Unit

Manage Business Units

Search

Name MA BU

Location

Manager

Active

Search Reset Save...

Search Results

Actions View Format Freeze Wrap

Name	Active	Location	Manager
MA BU	✓	MA BU Locati...	

Columns Hidden 1

Save and Close Cancel

We start by selecting the **Business Unit (BU)** we want to work on, and then we set up its **Common Options**.

Manage Common Options for Payables and Procurement ⓘ

Business Unit MA BU

Default Distributions

* Liability	101.10.22100.000.000.000 ⓘ	Miscellaneous	101.10.60210.000.000.000 ⓘ
* Prepayment	101.10.13500.000.000.000 ⓘ	Freight	101.10.62510.000.000.000 ⓘ
Bill Payable	ⓘ	Prepayment Tax Difference	ⓘ
* Conversion Rate Variance Gain	101.10.78990.000.000.000 ⓘ	Retainage	ⓘ
* Conversion Rate Variance Loss	101.10.78990.000.000.000 ⓘ	Unclaimed Fund	ⓘ
* Discount Taken	101.10.77600.000.000.000 ⓘ		

Automatic Offsets ⓘ

Offset Segments ☒ None
☐ Primary balancing segment
☐ All segments, except natural account

One Time Payments

Liability	101.10.22100.000.000.000 ⓘ	Expense	101.10.24220.000.000.000 ⓘ
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Currency Conversion

☒ Require conversion rate entry

Conversion Rate Type Corporate ⓘ

* Realized Gain Distribution	101.10.80200.000.000.000 ⓘ
* Realized Loss Distribution	101.10.80200.000.000.000 ⓘ

Expense Accruals

Accrue Expense Items At receipt ⓘ

Self-Billed Invoices

☐ Gapless invoice numbering

Buying Company Identifier ⓘ

Legal Entity Information

VAT Registration Member State ⓘ

VAT Registration Number ⓘ

Bill to Location MA BU Location ⓘ

Additional Information

Regional Information ⓘ

- **Liability:** This is the company's account that shows how much the company owes to the supplier.
- **Prepayment:** This is the company's account used for advance payments made to the supplier.
- **Conversion Rate Gain:** The account used when there's a foreign exchange difference in favor of the company, for example if the currency rate changes between the time the PO was created and now.

- **Conversion Rate Loss:** The account used when there's a foreign exchange difference against the company, for example if the rate change causes a loss, **In most cases**, both gain and loss are posted to the same account.
- **Discount:** The company's account that records any discount applied to invoices.
- **Retainage:** The account used in special cases like contracting. The full contractor amount is recorded here, but payments are released in parts as the contractor finishes specific milestones, according to agreement.
- **Expense:** The company's account for recording expenses.
- **Conversion Rate Type:** Defines the source of the conversion rate. This is controlled by Finance, because there are multiple methods. We usually select Corporate, which means it follows the company's chosen exchange rate.
- **Realized Gain Distribution:** The actual foreign exchange gain that happens at the time of payment or collection (when the company benefits).
- **Realized Loss Distribution:** The actual foreign exchange loss that happens at the time of payment or collection (when the company loses).

Important Note:

The difference between Conversion Rate Gain/Loss and Realized Gain/Loss is:

- **Conversion Rate Gain/Loss** → exchange rate difference based on the rate you entered or adjusted at transaction time (invoice/payment), even if you haven't paid yet.
- **Realized Gain/Loss** → exchange rate difference that happens when you actually pay or receive money.
- **Accrue Expense Items:** This defines when the system recognizes that the supplier is owed money. Two options:

- At Receipt: As soon as goods are received.
- Period End: At the end of the accounting period (e.g. end of month).

These are all the account numbers needed to continue the setup.

3. Configure Procurement Business Function :

Here, we are configuring how the **Business Unit** will operate in **Procurement**.

Setup Path:

Home Page > Setup and Maintenance > Procurement > Procurement Foundation > Configure Procurement Business Function > Select BU > Fill Data > Save and Close

Setup: Procurement ?

Actions

Functional Areas Change Feature Opt In

- * Initial Users Shared
- * Enterprise Profile Shared
- * Legal Structures Shared
- * Financial Reporting Structures Shared
- * Organization Structures Shared
- Workforce Structures Shared
- * Users and Security Shared
- * Purchasing Categories
- * Suppliers Shared
- * Approval Management
- * **Procurement Foundation**
- * Items Shared

Search Tasks

Procurement Foundation

View Format Freeze Detach Wrap Show Required Tasks

Task	Scope	Actions
Manage Procurement Agents		
Manage Payment Terms		
Manage Units of Measure		
Configure Procurement Business Function		
Configure Requisitioning Business Function		
Manage Procurement Agents	MA BU	

Columns Hidden 3

Specify Procurement BU

Procurement BU | MA BU

☒ Save value as default

OK Cancel

Main Document Types

General ⓘ

Payment Terms Immediate

Shipping Method

Freight Terms

FOB

Buyer managed transportation

Price Break Type Cumulative

Buyer

Inventory Organization MAMST

Line Type Goods

Currency USD

Conversion Rate Type Corporate

Preferred Language American English US

Prospective Supplier Registration URL https://fa-euth-dev/29-saasfadem01 ds...

Spend Authorized Supplier Registration URL https://fa-euth-dev/29-saasfadem01 ds...

Define Terms and Conditions

Purchasing ⓘ

Maximum File Size Megabytes 25

Receipt Close Tolerance Percent 0

Receipt Close Point Received

Invoice Close Tolerance Percent 0

Match Approval Level 3 Way

Allow manual price update on fulfilled orders

Default promised date from requested date

Enforce supplier hold

Autogenerate orders from requester-negotiated requisition lines

Bypass approvals for automatically submitted orders

Communicate purchase order changes

Communicate purchase agreements

Enable automatic sourcing to contract purchase agreements

Punchout requests only

Autogenerate orders from requisition lines sourced to agreements

Automatically submit for approval

Group requisitions

Use customer sales order

Use ship-to location

Group requisition lines

Use requested date

Use ship-to organization and location

Consignment Terms

Sourcing ⓘ

Negotiation Type RFQ

Negotiation Style Composite Scoring RFQ

Negotiation template required

Rank Indicator 1,2,3...

Maximum Requirement Score 5

Purchasing Documents Create in Oracle Fusion Purchasing

Initiate approval

Automatically add new supplier items to item relationships

Agreement Lines Update matching lines

Configure Abstract Listing Define Terms and Conditions

Enable weights in requirements

Display requirement scoring criteria to suppliers

Automatically populate responses to predefined questions

Display rank in blind negotiations

Display best price in blind negotiations

Enforce supplier's previous round price as start price

Enable negotiation approval

Enable award approval

Invite only sourcing eligible suppliers

General:

- **Payment Terms:** The default payment method for the BU. You can still change it when creating a PO.
- **Shipping Method:** The default shipping method agreed with the supplier. It can also be changed depending on the item type or delivery location.

- **Price Break Type:** Used in agreements, for example if there's a blanket agreement that says: for every 100 items ordered, there's a 1% discount.
 - **Cumulative:** The discount is based on the total across multiple POs. For example, if the first order was 40 items and the second order was 70 items, the 1% discount applies because the total is now over 100.
 - **Noncumulative:** Each order is calculated separately. The discount only applies if a single PO reaches 100 items.
- **Buyer:** You can set a default buyer for the BU.
- **Inventory Organization:** Set to the Item Master so it can see all items in the organization.
- **Line Type:** Default type on the PO line – for example, Goods or Service.
- **Currency:** The default currency for the PO.
- **Prospective Supplier Registration URL:** Sent to potential suppliers (not yet approved) so they can register their details. After registration, the process goes through the approval cycle.
- **Spend Authorized Supplier Registration URL:** Sent to approved suppliers who are already authorized to work with the company. After registration, this also goes through the approval cycle.

Purchasing:

- **Maximum File Size (MB):** The maximum size for a PO file including attachments. It's recommended to keep it reasonable to avoid technical issues when sending POs to suppliers.
- **Receipt Close Tolerance (%):** When receiving goods, sometimes the supplier delivers more than ordered. This defines how much extra can be accepted.
- **Receipt Close Point:** Defines when the system closes the receiving process. Options:

1. **Received:** Once the ordered quantity is received, the system blocks further receiving.
 2. **Accepted:** Once the inspection is done and approved for the required quantity. For example, if only half the items are accepted, the system allows receiving until the full quantity is accepted.
 3. **Delivered:** After receiving, inspection, approval, and putting away in inventory, the system closes receiving.
- **Match Approval Level:** When the accountant creates an invoice for the supplier, the system performs matching of the ordered quantities on the PO based on the following options:
 1. **2-way:** Compares the invoice with the PO.
 2. **3-way:** Compares the invoice with the PO and the receipt of goods.
 3. **4-way:** Compares the invoice with the PO, the receipt of goods, and the accepted quantities.

***Other checkboxes can be enabled depending on business needs.**

4. Configure Requisitioning Business Function :

Here, we are configuring how the **Business Unit (BU)** will operate in **Requisitioning**.

Setup Path:

Home Page > Setup and Maintenance > Procurement > Procurement Foundation > Configure Requisitioning Business Function > Select BU > Fill Data > Save and Close.

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Setup: Procurement

Functional Areas

- * Initial Users
- * Enterprise Profile
- * Legal Structures
- * Financial Reporting Structures
- * Organization Structures
- Workforce Structures
- * Users and Security
- * Purchasing Categories
- * Suppliers
- * Approval Management
- * **Procurement Foundation**
- * Items

Change Feature Opt In

Search Tasks

Procurement Foundation

View Format Freeze Detach Wrap Show Required Tasks

Task	Scope	Actions
Manage Procurement Agents		
Manage Payment Terms		
Manage Units of Measure		
Configure Procurement Business Function		
Configure Requisitioning Business Function		
Manage Procurement Agents	MA BU	

Columns Hidden 3

Configure Requisitioning Business Function (MA BU)

Save Save and Close Cancel

Requisitioning

* Default Deliver-to Organization MA Inventory 1

Line Type Goods

Group Requisition Import By Item

☒ Allow one-time addresses

- ☐ Reapproval required for changes made during an active approval process
- ☒ Create orders immediately after requisition import
- ☐ Approval required for buyer modified lines
- ☒ Enable approver override
- ☐ Enable supply availability details for internal transfers

Context Values for Requisition Descriptive Flexfields

Header Level

Line Level

Distribution Level

Purchasing

* Default Procurement BU MA BU

Price Change Tolerance Percentage 10

Price Change Tolerance Amount (USD) 1,000.00

Ship-to Location MA OBOUR

Cancel Unfulfilled Demand Optionally

Multiple Legal Entities on Order Error

☐ Allow requisition-to-agreement UOM conversion

Requisitioning:

- **Default Deliver to Organization:** This is the organization that will appear as default on the PR (Purchase Requisition). It can still be changed if needed.
- **Allow One Time Addresses:** Allows you to enter a custom address manually, other than the ones already defined in the system.

Purchasing:

- **Price Change Tolerance Percentage:** The allowed percentage difference in price between the PR and the PO.
- **Price Change Tolerance Amount:** The allowed amount difference in price between the PR and the PO.
- **Ship to Location:** The default location where the goods will be shipped. It can also be changed when required.

***Other checkboxes can be enabled depending on business needs.**